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Original practice paper

WAEC Economics: Objective Practice 1

Fifteen original objective questions on scarcity, demand, production, money and the economy.

Exam	Subject	Questions	Time
WAEC WASSCE	**Economics**	**15**	**15 minutes**

Instructions

- Answer every question.
- Each question carries one mark.
- Explanations follow the answer grid.

1. The basic economic problem exists because

A there is unemployment
B resources are scarce relative to human wants
C prices are high
D governments impose taxes

2. Opportunity cost is best described as

A the next best alternative forgone
B the total cost of production
C the market price of a good
D the money paid for a good

3. Other things being equal, when the price of a good rises, the quantity demanded

A doubles
B falls
C rises
D stays the same

4. The reward for land as a factor of production is

A profit
B rent
C interest
D wages

5. Which factor of production bears the risk of a business?

A Labour
B Land
C Entrepreneur
D Capital

6. A 10% rise in price causes a 20% fall in quantity demanded. The price elasticity of demand is

A 10
B 0.5
C 2
D 20

7. Which of these is NOT a function of money?

A Medium of exchange
B Store of value
C Unit of account
D Factor of production

8. Which institution issues the naira in Nigeria?

A Nigerian Exchange
B Central Bank of Nigeria
C Bank of Industry
D Federal Ministry of Finance

9. The movement of people from villages to cities is called

A seasonal migration
B emigration
C immigration
D rural-urban migration

10. A market in which there is only one seller is called

A oligopoly
B perfect competition
C monopoly
D duopoly

11. A tax charged on goods brought into a country is

A income tax
B company tax
C poll tax
D import duty

12. Gross Domestic Product (GDP) measures

A government revenue
B the value of exports
C the value of final goods and services produced in a country in a year
D the money in circulation

13. Inflation is best described as

A a fall in prices
B a rise in the price of one good
C a persistent rise in the general price level
D an increase in output

14. Division of labour usually leads to

A higher costs of production
B more output per worker
C fewer goods produced
D lower quality goods

15. The money a firm receives from selling its output is called

A wages
B total revenue
C total cost
D profit

Answers and explanations

Mark your paper first, then read the explanation for every question you missed.

1. **B**	2. **A**	3. **B**	4. **B**	5. **C**
6. **C**	7. **D**	8. **B**	9. **D**	10. **C**
11. **D**	12. **C**	13. **C**	14. **B**	15. **B**

1. B. Wants are unlimited but resources are limited.

2. A. It is the value of the option you give up.

3. B. This is the law of demand.

4. B. Land earns rent, labour earns wages, capital earns interest.

5. C. The entrepreneur bears the risk and earns profit.

6. C. 20 ÷ 10 = 2, so demand is elastic.

7. D. Money is not a factor of production.

8. B. The Central Bank issues currency.

9. D. People move from rural to urban areas.

10. C. Mono means one.

11. D. Import duties are charged on imports.

12. C. GDP counts final output produced within the country.

13. C. Inflation is a general and continuing rise in prices.

14. B. Specialisation makes workers more efficient.

15. B. Revenue is price times quantity sold.